TEACHER GUIDE

IB Diploma Programme Business management HL

Profitability and liquidity ratio analysis



Unit 3: Finance and accounts
3.5 Profitability and liquidity ratio analysis

A revision lesson. Pupils run a car dealership in firms of four and revise profitability and liquidity ratio analysis on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	**45 min**	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same. Your Live screen shows each task and every firm's answer.

1 Current ratio

Round 1

Can they pay their bills?

Current ratio? Type the number before ":1".

Current assets	**£60,000**
Owed to suppliers	**£9,200**
Bank overdraft	**£5,800**

ANSWER

£4

£9,200 + £5,800 = £15,000;
£60,000 ÷ £15,000 = 4 : 1

Why: They hold £4 of assets for every £1 they owe soon.

2 Raise current ratio

Round 1

Your current ratio is 0.8.

Which two actions would raise it?

- **A** Swap the overdraft for a 5-year loan
- **B** Buy computers on the overdraft
- **C** Sell an unused building for cash
- **D** Use cash to buy a new ramp
- **E** Pay suppliers with cash

ANSWER

✓ Swap the overdraft for a 5-year loan
✓ Sell an unused building for cash

Why: Raise current assets or cut current liabilities, without the other moving.

3 Rank current ratio

Round 2

Three dealers: current assets and current liabilities.

Order by current ratio, lowest first?

- **A** £45,000 assets, £50,000 liabilities
- **B** £120,000 assets, £60,000 liabilities
- **C** £60,000 assets, £40,000 liabilities

ANSWER

1. £45,000 assets, £50,000 liabilities
2. £60,000 assets, £40,000 liabilities
3. £120,000 assets, £60,000 liabilities

Why: Ratios 0.9, 1.5 and 2.0.

Topic tasks

4 Net profit margin

Round 2

Last year's accounts.

Net profit margin, as a %?

Sales	**£120,000**
Cost of cars sold	**£100,800**
Overheads	**£12,000**

ANSWER

6%

£120,000 − £100,800 − £12,000 = £7,200; ÷ £120,000 = 6%

Why: Net profit is what is left after the cars and the overheads.

5 Low acid test ratio

Round 3

Your current ratio is 3.5, but your acid test (quick) ratio is 0.4.

What should you do, and why?

A Leave it as it is

B Cut the stock you hold

ANSWER

✓ Cut the stock you hold

Why: Most current assets are unsold stock: cash is tied up in cars.

6 ROCE as a %

Round 3

Last year's accounts.

ROCE, as a %?

Operating profit	**£16,320**
Share capital	**£122,400**
Retained profit	**£40,800**
Non-current liabilities	**£40,800**

ANSWER

8%

£122,400 + £40,800 + £40,800 = £204,000; £16,320 ÷ £204,000 × 100 = 8%

Why: Every £1 of capital employed earned 8p of operating profit.

Final questions

Each pupil answers 6 final questions on profitability and liquidity ratio analysis. They come from these 8 questions.

1. A campaign produces £160,000 revenue and attributable gross profit of £56,000. What is its attributable gross profit margin?
   ✔ **35%**

2. A dealer has current assets of £180,000 and current liabilities of £225,000. What is its current ratio, and what does it show?
   ✔ **0.8 to 1: short-term debts exceed the assets to meet them**

3. A finance director says the dealer is “liquid enough to get through March”. What does liquidity measure?
   ✔ **Whether short-term debts can be met when due**

4. A dealer’s revenue is £900,000 and cost of sales £648,000. What is the gross profit margin?
   ✔ **28%**

5. A dealer group’s profit before interest and tax is £126,000 and its capital employed £1,050,000. What is return on capital employed?
   ✔ **12%**

6. A parts business has current assets of £300,000 and current liabilities of £240,000. What is its current ratio?
   ✔ **1.25:1**

7. A dealer’s current ratio falls from 1.6:1 to 0.9:1 over the year. What does this suggest?
   ✔ **It may struggle to pay short-term debts**

8. A dealer’s revenue rises but its gross profit margin falls. Which is the most likely cause?
   ✔ **Cars were bought at higher prices than before**